



STEP Advanced Certificate in Company Law and Practice (International)

Specimen Examination Paper 1



Question 1

You have been appointed as company secretary (or administrator) of Company Ltd ('Company'). A and B are directors of Company; C, D and E are its registered shareholders, owning 70%, 20% and 10% of the issued share capital respectively.

The articles of association of Company are attached, marked **Appendix 1**.

You are asked to convene a general meeting of Company to take place on 28 August for the purpose of placing the company into voluntary liquidation, a decision which, under applicable companies legislation, requires a three-quarter majority vote or such other lesser super-majority defined in the articles.

1.1 Draft a notice for the meeting.

(5 marks)

1.2 Upon whom should the notice be served? How do you suggest the notice be served and when?

(4 marks)

1.3 What is the effect of a failure to give proper notice?

(3 marks)

1.4 Assume for the purposes of this question that only C turns up for the meeting at the appointed time on 28 August. Can C pass the resolution? Explain your answer.

(4 marks)

1.5 Assume for the purpose of this question that all three shareholders attend at the appointed time. On a show of hands D and E vote against the motion. What is the result of the vote? What would you expect C to do in these circumstances?

(4 marks)

Total: 20 marks

Question 2

You are employed by Corporate Services Provider in the jurisdiction of your choice and are responsible for the administration of a managed company, Company Ltd ('Company'). In a preliminary paragraph of your answer, you must clearly state your chosen jurisdiction and apply this consistently throughout.

Company has issued two shares, both of which are held by Corporate Services Provider (Nominees) Ltd, a subsidiary of Corporate Services Provider, as nominee for Mr AB.

Company has a sole director, namely Corporate Services Provider (Directorships) Ltd, another subsidiary of Corporate Services Provider.

Articles of association of the Company are attached to this Examination Paper, marked **Appendix 1**.

Mr AB's Relationship Manager at Corporate Services Provider advises you that Mr AB has arranged for Company to borrow \$5 million from XYZ Bank, Miami, in order for the Company to buy a Lear Star Jet (Tail Fin No.1234). The loan will be secured by way of legal mortgage over the aircraft. Upon completion of the purchase, the aircraft's registration is to be transferred from the US Federal Aviation Authority (FAA) to the Isle of Man Aircraft Registry.

- 2.1** Describe the corporate procedures that must be followed for Company to carry out the transactions described above.

(10 marks)

- 2.2** Draft appropriate resolutions to authorise Company lawfully to enter into and complete the transactions.

(10 marks)

Total: 20 marks

Question 3

You are employed as a trust officer by International Trust Company, a trust company carrying on business in an offshore jurisdiction of your choice. In a preliminary paragraph of your answer, you must clearly state your chosen jurisdiction and apply this consistently throughout.

You manage an underlying company by the name of Company Ltd ('Company'). The shares of Company are held by International Trust Company according to the terms of the Redhouse Trust.

Company holds world-wide assets on behalf of the trustee of the Redhouse Trust, including an account with Midcity Bank.

You have been appointed as a co-director of Company together with a colleague, Ms Avril Nath. The articles of the Company are in the same form as those attached marked **Appendix 1**.

- 3.1** Describe the usual division of power to manage the business of a company and explain why it arose from a historical perspective.

(6 marks)

- 3.2** How, if at all, is the division of power referred to in Question 3.1 affected by the terms of Article 19.1 of the Company's articles?

(4 marks)

- 3.3** Discuss how such division of power is affected when the Company is an underlying asset-holding company that is managed and controlled by an offshore trustee?

(5 marks)

- 3.4** By what method, and in which circumstances, may you be removed from office as a director of the Company? If you are removed, how and in what circumstances may a new director be appointed in your place?

(5 marks)

Total: 20 marks

Question 4

'A directorship is a double-edged sword. It can bring reward, but it also carries certain risks.'

Discuss the above statement so far as it relates to risk. Identify the main problem areas and state how a director may seek to reduce the exposure.

Total: 20 marks

Question 5

Company Ltd ('Company') is incorporated in the jurisdiction of your choice. In a preliminary paragraph of your answer, you must clearly state your chosen jurisdiction and apply this consistently throughout.

Company is insolvent. It has assets consisting of:

- real estate, known as 'Blackacre', valued at \$1.7 million
- moveable chattels, known as 'artwork', valued at \$550,000
- cash in Bank of \$40,000
- securities, held with Broker, of \$310,000.

It is owed the sum of \$5,000 by PB Oil Co.

The liabilities of Company consist of:

- a loan from Mortgagee which is 'underwater' insofar as it is secured by fixed legal charge over Blackacre amounting to \$2.4 million
- unpaid legal fees owed to Lawyer of \$120,000
- unpaid accountancy fees due to Accountancy Firm of \$15,000
- unpaid fees due to Corporate Service Provider of \$60,000
- an unpaid lawful and enforceable tax liability to Revenue Authority of the state of incorporation of the Company amounting to \$55,000
- miscellaneous trade creditors of \$225,000.

The corporate documentation reveals that Company was initially financed by way of shareholder loan from Beneficial Owner of \$500,000, which is recorded by simple promissory note and is still outstanding.

- 5.1** Compare and contrast the voluntary members, and the voluntary creditors, winding-up process. Advice which is the appropriate process for Company to follow.

(5 marks)

- 5.2** You are appointed as the liquidator of Company. Assume that the corporate assets are realised for their estimated values and the receivable is collected in full. Your own fees and disbursements amount to \$40,000.

Draft the liquidator's final Statement of Account to complete the winding-up.

(15 marks)

Total: 20 marks

END OF PAPER

Appendix 1

Articles of Association regulating the management of Company

1. Definitions

In these articles the terms below shall have the meanings set opposite to them.

‘Articles’ means the articles of the Company in their present form or as amended from time to time

‘Companies Legislation’ means every statute, Order in Council and regulation for the time being in force in [jurisdiction] affecting companies

‘Company’ means the company incorporated in [jurisdiction] under the name of [name].

‘Registered office’ means the registered office for the time being of the Company, situated at such place in [jurisdiction] as the directors shall determine.

‘Resolution’ means a resolution of the shareholders of the Company in general meeting passed by a simple majority of votes of the shareholders entitled to vote; an ‘ordinary resolution’ being passed by a simple majority of votes of the shareholders entitled to vote; a ‘special resolution’ being passed by a super-majority of two thirds of the votes of shareholders entitled to vote.

2. Shares

- 2.1 Subject to the provisions, if any, in that behalf of the memorandum of association, and without prejudice to any special rights previously conferred on the holders of existing shares, any shares may be issued with such preferred, deferred or other special rights, or such restrictions whether in regard to dividend, voting, return of share capital or otherwise as the Company may, from time to time, by special resolution determine.
- 2.2 Subject to the provisions, if any, in that behalf of the memorandum of association, preference shares may, by special resolution, be issued on terms that they are to be redeemed:
- (a) on a given date or on the happening of a specified event
 - (b) at the option of the company, or, if authorised by the memorandum, at the option of the holder.
- 2.3 Subject to the provisions of these articles, the un-issued shares of the Company shall be at the disposal of the board of directors who may offer, allot, issue or otherwise dispose of them to such persons, at such time, for such consideration, and upon such terms and conditions as the directors may determine.

3. Share certificates

- 3.1 Every person whose name is entered as a shareholder in the register of members shall, without payment, be entitled to a certificate of the company specifying the share or shares held by him and the amount paid up thereon:

4. Modification of shareholder rights

- 4.1 If, at any time, the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of the shares of that class) may be varied with the sanction of a special resolution passed at a separate general meeting of the holders of the shares of the class. To every such separate general meeting the provisions of these regulations relating to general meetings shall, *mutatis mutandis* apply, but so that the necessary quorum shall be two persons at least holding or representing by proxy one-third of the issued shares of the class and that any holder of shares of the class present in person or by proxy may demand a poll.

5. Lien

- 5.1 The Company shall have a lien on every share (not being a fully paid share) for all moneys (whether presently payable or not) called or payable at a fixed time in respect of that share, and the Company shall also have a lien on all shares (other than fully paid shares) standing registered in the name of a single person for all moneys presently payable by him or his estate to the Company. The Company's lien, if any, on a share shall extend to all dividends payable thereon.
- 5.2 The Company may sell, in such manner as the directors think fit, any shares in which the Company has a lien.

6. Calls on shares

- 6.1 The directors may, from time to time, make calls upon the shareholders in respect of any moneys unpaid on the shares; and each shareholder shall (subject to receiving at least 14 days' notice specifying the time or times of payment) pay to the Company at the time or times so specified the amount called on his shares.
- 6.2 If a sum called in respect of a share is not paid before or on the day appointed for payment thereof, the person from whom the sum is due shall pay interest upon the sum at the rate of 6% per annum from the day appointed for the payment thereof to the time of the actual payment, but the directors shall be at liberty to waive payment of that interest wholly or in part.

7. Forfeiture of Shares (for unpaid calls)

- 7.1 If a member fails to pay any call or instalment of a call on the day appointed for payment thereof, the directors may, at any time thereafter during such time as any part of such call or instalment remains unpaid, serve a notice on him requiring payment of so much of the call or instalment as is unpaid, together with any interest which may have accrued.
- 7.2 If the requirements of a call notice is not complied with, any share in respect of which the notice has been given may at any time thereafter, before the payment required by the notice has been made, be forfeited by a resolution of the directors to that effect.

8. Transfer and Transmission of Shares

8.1 The instrument of transfer of any share shall be executed by or on behalf of the transferor and transferee, and the transferor shall be deemed to remain a holder of the share until the name of the transferee is entered in the register of members in respect thereof.

8.2 Shares shall be transferred in the following form, or in any usual or common form approved by the directors:

'I, [name of transferor], of [address] in consideration of the sum of \$[price] paid to me by [name of transferee], of [address] (hereinafter called "the said transferee") do hereby transfer to the said transferee the share (or shares) numbered in the undertaking called [name of the Company], to hold unto the said transferee, subject to the several conditions on which I hold the same:

and I, the said transferee, do hereby agree to take the said share (or shares) subject to the conditions aforesaid.'

8.3 The directors may decline to register any transfer of shares, not being fully paid shares, to a person of whom they do not approve, and may also decline to register any transfer of shares on which the Company has a lien.

8.4 The directors may decline to recognise any instrument of transfer unless:

- (a) a fee not exceeding [\$1.00] is paid to the company in respect thereof; and
- (b) the instrument of transfer is accompanied by the certificate of the shares to which it relates and such other evidence as the directors may reasonably require to show the right of the transferor to make the transfer.

8.5 If the directors refuse to register a transfer of any shares, they shall, within two months after the date on which the transfer was lodged with the Company, send to the transferee notice of the refusal.

8.6 The legal personal representative of a deceased sole holder of a share shall be the only person recognised by the company as having any title to the share. In the case of a share registered in the names of two or more holders, the survivors, survivor or the legal personal representatives of the deceased survivor, shall be the only person recognised by the company as having any title to the share.

8.7 Any person becoming entitled to a share in consequence of the death or bankruptcy of a member shall, upon such evidence being produced as may from time to time be properly required by the directors, have the right either to be registered as a member in respect of the share or, instead of being registered himself, to make such transfer of the share as the deceased or bankrupt person could have made; but the directors shall, in either case, have the same right to decline or suspend registration as they would have had in the case of a transfer of the share by the deceased or bankrupt person before the death or bankruptcy.

8.8 A person becoming entitled to a share by reason of the death or bankruptcy of the holder shall be entitled to the same dividends and other advantages to which he would be entitled if he were the registered holder of the share, except that he shall not, before being registered as a member in respect of the share, be entitled in respect of it to exercise any right conferred by membership in relation to meetings of the company.

9. Alteration of Capital

- 9.1 The company may, from time to time by special resolution, increase the share capital by such sum, to be divided into shares of such amount, as the resolution shall prescribe.
- 9.2 The new shares shall be subject to the same provisions with reference to the payment of calls, lien, transfer, transmission, forfeiture and otherwise as the shares in the original share capital.
- 9.3 The Company may, by special resolution, reduce its share capital and any capital redemption reserve fund in any manner and with, and subject to, any incident authorised and consent required by the Companies Legislation.

10. General Meetings

- 10.1 The first general meeting of the Company shall be held within a period of not more than 18 months from the day that the Company has the right to commence business.
- 10.2 A general meeting ('the annual general meeting') shall be held once in every calendar year at such time (not being more than 15 months after the holding of the last preceding general meeting) and place as may be resolved by the company in general meeting. If the directors fail to convene an annual general meeting it may be convened by any two members in the same manner as nearly as possible as that in which meetings are to be convened by the directors.
- 10.3 All general meetings other than annual general meetings shall be called extraordinary [special] general meetings.
- 10.4 The directors may, whenever they think fit, convene an extraordinary special general meeting. Alternatively any two members of the company holding at least 10% of the issued share capital of the Company may convene an extraordinary special general meeting in the same manner as nearly as possible as that in which meetings may be convened by the directors.

11. Notice of General Meetings

- 11.1 Subject to the requirements of the Companies Legislation relating to [special] resolutions, at least 14 clear days' notice in writing (exclusive of the day on which the notice is served or deemed to be served, and of the day for which notice is given) specifying the place, the day and hour of meeting and, in case of special business, the general nature of that business shall be given in the manner provided by para.27 of these articles, to such persons as are entitled to receive such notices from the company.
- 11.2 A general meeting may be convened by such shorter notice with the consent of all the members entitled to receive notice of the meeting, and in such manner as those members may think fit.
- 11.3 The accidental omission to give notice of a meeting to, or the non-receipt of a notice of a meeting by any member shall not invalidate the proceedings at any meeting.

12. Proceedings at General Meetings

- 12.1 All business shall be deemed special that is transacted at any extraordinary special meeting, and also all that is transacted at an annual general meeting, with the exception of sanctioning a dividend, consideration of the accounts, balance sheets, and the report of the directors

(and auditors, if any) and the election of directors and other officers in the place of those retiring by rotation.

- 12.2 No business shall be transacted at any general meeting unless a quorum of members is present at the time when the meeting proceeds to business; save as herein otherwise provided, two shareholders personally present shall be a quorum unless the company has a sole shareholder in which case a quorum is one and the sole shareholder can pass a written resolution in accordance with art.12.11.
- 12.3 If, within half an hour from the time appointed for the meeting, a quorum is not present, the meeting, if convened upon the requisition of members, shall be dissolved; in any other case it shall stand adjourned to the same day in the next week, at the time and place, and if at the adjourned meeting a quorum is not present within half an hour from the time appointed for the meeting the members present shall be a quorum.
- 12.4 The shareholders present in person or by proxy and entitled to vote shall elect by majority vote one of their number to act as chairman.
- 12.5 The chairman may with the consent of any meeting at which a quorum is present (and shall if so directed by the meeting), adjourn the meeting from time to time and from place to place, but no business shall be transacted at any adjourned meeting other than the business left unfinished at the meeting from which the adjournment took place. When a meeting is adjourned for 10 days or more, notice of the adjourned meeting shall be given as in the case of an original meeting. Save as aforesaid it shall not be necessary to give any notice of an adjournment or of the business to be transacted at an adjourned meeting.
- 12.6 At any general meeting a resolution put to the vote of the meeting shall be decided on a show of hands, unless a poll is (before or on the declaration of the result of the show of hands) demanded by at least three members present in person or by proxy entitled to vote or by one member or two members together holding not less than 15% of the paid up capital of the Company.
- 12.7 Unless a poll is so demanded, a declaration by the chairman that a resolution has, on a show of hands, been carried, carried unanimously, carried by a particular majority or lost, and an entry to that effect in the book of the proceedings of the Company, shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded in favour of, or against, that resolution.
- 12.8 If a poll is duly demanded it shall be taken in such manner as the chairman directs, and the result of the poll shall be deemed to be the resolution of the meeting at which the poll was demanded.
- 12.9 In the case of an equality of votes, whether on a show of hands or on a poll, the chairman of the meeting at which the poll is demanded shall be entitled to a second or casting vote.
- 12.10 A poll demanded on the election of a chairman or on a question of adjournment shall be taken forthwith; a poll demanded on any other question shall be taken at such time as the chairman of the meeting directs.
- 12.11 A resolution in writing, signed by all of the shareholders for the time being entitled to receive notice of a general meeting of the Company and vote thereat, shall be as valid and effective as

if it had been passed at a general meeting of the Company duly convened and held, and may consist of several documents in like form signed by any one or more of the shareholders

13. Votes of Members

- 13.1 On a show of hands every member present in person shall have one vote. On a poll every member shall have one vote for each share of which he is the holder.
- 13.2 In the case of joint holders the vote of the senior who tenders a vote, whether in person or by proxy, shall be accepted to the exclusion of the votes of the other joint holders, and for this purpose seniority shall be determined by the order in which the names stand in the register of members.
- 13.3 A member of unsound mind, or in respect of whom an order has been made by any court having jurisdiction in lunacy, may vote, whether on a show of hand or on a poll, by his committee or other person in the nature of a committee appointed by that court, and any such committee or other person, may, on a poll, vote by proxy.
- 13.4 No member shall be entitled to vote at any general meeting unless all calls or other sums presently payable by him in respect of shares in the company have been paid.
- 13.5 On a poll votes may be given either personally or by proxy.
- 13.6 The instrument appointing a proxy shall be in writing under the hand of the appointor or his attorney duly authorised in writing or, if the appointor is a corporation, either under seal or under the hand of an officer or attorney duly authorised. A proxy need not be a member of the company.
- 13.7 The instrument appointing a proxy and the power of attorney or other authority, if any, under which it is signed, or a notarially certified copy of that power or authority shall be deposited at the registered office of the company not less than 48 hours before the time for holding the meeting or adjourned meeting at which the person named in the instrument proposes to vote, and in default the instrument of proxy shall not be treated as valid.
- 13.8 An instrument appointing a proxy may be in the following form or any other form approved by the directors:

'I, [name of shareholder], of [address], being a member of the [name of Company] hereby appoint [name of proxy] of [address] as my proxy, to vote for me and on my behalf at the ordinary [or extraordinary] general meeting of the Company to be held on the [date], and at any adjournment thereof.'

[Signed by shareholder and dated].

14. Corporations acting by representatives at general meetings

Any corporation which is a member of the Company may, by resolution of its directors or other governing body, authorise such persons as it thinks fit to act as its representative at any meeting of the company or of any class of members of the company, and the person so authorised shall be entitled to exercise the same powers on behalf of the corporation which he represents as that corporation could exercise if it were an individual member of the company.

15. Appointment of Directors

- 15.1 The number of the directors and the names of the first directors shall be determined in writing by a majority of the subscribers of the memorandum of association.
- 15.2 Unless otherwise determined by ordinary resolution the number of directors shall be without limit and the minimum number shall be one.
- 15.3 The Company may, by ordinary resolution, remove a director before the expiration of his period in office, notwithstanding anything in any agreement between the company and such director.
- 15.4 The Company may, by an ordinary resolution, appoint another person in place of the director so removed under the preceding article. The person so appointed shall be subject to retirement at the same time as if he had become a director on the day on which the director in whose place he is appointed was last elected a director.

16. Rotation of Directors

- 16.1 At the first annual general meeting of the company the whole of the directors shall retire from office, and at the annual general meeting in every subsequent year one third of the directors for the time being, or, if their number is not three or a multiple of three, then the number nearest one third, shall retire from office.
- 16.2 The directors to retire in every year shall be those who have been longest in office since their last election but as between persons who became directors on the same day those to retire shall (unless they otherwise agree among themselves) be determined by lot.
- 16.3 A retiring director shall be eligible for re-election.

17. Disqualification of Directors

- 17.1 The office of director shall be vacated, if the director:
 - (a) without the consent of the company in general meeting, holds any other office of profit under the company except that of managing director or manager;
 - (b) becomes bankrupt;
 - (c) is found to be or becomes of unsound mind;
 - (d) resigns his office by notice in writing to the company; or
 - (e) is directly or indirectly interested in any contract with the company or participates in the profits of any contract with the company:
- 17.2 A director shall not vacate his office under the preceding paragraph by reason of his being a member of any corporation which has entered into a contract with or done any work for the company if he has declared the nature of his interest at the first meeting of the directors of the company held after he became interested in the contract, but the director shall not vote in respect of any such contract or work or any matter arising thereout, and if he does so vote his vote shall not be counted.

18. Remuneration of directors and director's interests

- 18.1 The remuneration of the directors shall be determined from time to time by the Company in general meeting.
- 18.2 A director [or other officer of the Company] may enter into a contract or other arrangement with the Company (either as vendor, purchaser, lessor, lessee, manager, agent, broker or otherwise) provided that the director shall disclose, at the board meeting at which the contract or arrangement is determined, the nature of his interest but the director shall not vote in respect of such contract or arrangement or on any matter arising in connection therewith.
- 18.3 A director may occupy any other office or position in the Company or act in any professional capacity to the Company in conjunction with his office of director, and on such terms as to remuneration or otherwise as the directors shall think fit.

19. Powers of directors

- 19.1 The business of the Company shall be managed by the directors, who may pay all expenses incurred in setting up and registering the company, and may exercise all such powers of the Company as are not, by the Companies Legislation or these articles, required to be exercised by the Company in general meeting.
- 19.2 The directors may, by power of attorney or otherwise, appoint any person to be the agent of the Company, for such purposes and on such conditions, as the directors determine
- 19.3 The directors may exercise all of the powers of the Company to borrow money and to mortgage or charge its undertaking and property, or any part thereof, and to issue securities whether outright or as security for any debt, liability or obligation of the Company, PROVIDED THAT the amount for the time being remaining undischarged of money borrowed by the directors shall not without the previous sanction of an ordinary resolution of the Company exceed \$1 million.
- 19.4 Without prejudice to the provisions of para.29 of these articles, the directors shall have power to purchase and maintain insurance for any persons who are, or were at any time, directors, officers or employees of the company, including insurance against any liability incurred by such persons in respect of any act or omission in the actual or purported execution of their powers or otherwise in relation to their duties to the Company.

20. Proceedings of Directors

- 20.1 The directors may meet together for the despatch of business, adjourn and otherwise regulate their meetings, as they think fit.
- 20.2 Questions arising at any meeting shall be decided by a majority of votes. In case of an equality of votes the chairman shall have a second or casting vote.
- 20.3 A director may, and the secretary on the requisition of a director shall, at any time, summon a meeting of the directors.
- 20.4 The quorum necessary for the transaction of the business of the directors may be fixed by the directors, and unless so fixed shall be two [except that where the number of directors has been

- fixed at one pursuant to para.15.2 of these articles, a sole director shall be deemed to form a quorum].
- 20.5 If and so far as there is a sole director, he may exercise all the powers conferred upon the directors by these articles by resolution in writing signed by him.
- 20.6 A meeting of directors, or committee of directors, may be validly held notwithstanding that such directors may not be in the same place, provided that:
- (a) they are in constant communication with each other throughout by telephone, television or some other form of communication; and
 - (b) all directors entitled to attend such meeting agree.
- 20.7 A person participating in such meeting as provided for by para.20.6 shall be deemed to be present in person and so shall be counted in the quorum and be entitled to vote. Such meeting shall be deemed to take place where the largest group of those participating is assembled, or, if there is no such group, where the chairman of the meeting is situated.
- 20.8 The continuing directors, [or sole director], may act notwithstanding any vacancy in their body, but, if and so long as their number is reduced below the number fixed by or pursuant to the articles of the company as the necessary quorum of directors, the continuing directors may act for the purpose of increasing the number of directors to that number, or of summoning a general meeting of the company, but for no other purpose.
- 20.9 The directors may elect a chairman of their meetings and determine the period for which he is to hold office; but if no such chairman is elected, or if at any meeting the chairman is not present within five minutes after the time appointed for holding the same, the directors present may choose one of their number to be chairman of the meeting.
- 20.10 The directors may delegate any of their powers to committees consisting of such member or members of their body as they think fit; any committee so formed shall, in the exercise of the powers so delegated, conform to any regulations that may be imposed on it by the directors.
- 20.11 A committee may elect a chairman of its meetings; if no such chairman is elected, or if at any meeting the chairman is not present within five minutes after the time appointed for holding the same, the members present may choose one of their number to be chairman of the meeting.
- 20.12 A committee may meet and adjourn as it thinks proper. Questions arising at any meeting shall be determined by a majority of votes of the members present and, in case of an equality of votes, the chairman shall have a second or casting vote.
- 20.13 All acts done by any meeting of the directors or of a committee of directors, or by any person acting as a director, shall, notwithstanding that it be afterwards discovered that there was some defect in the appointment of any such director or person acting as aforesaid, or that they or any of them were disqualified, be as valid as if every such person had been duly appointed and was qualified to be a director.
- 20.14 The directors shall cause minutes to be made in books provided for the purpose:
- (a) of all appointments of officers made by the directors;
 - (b) of the names of the directors present at each meeting of the directors and of any committee of the directors; and

- (c) of all resolutions and proceedings at all meetings of the company, and of the directors and of committees of directors, and every director present at any meeting of directors, or committee thereof, or the chairman shall sign his name in a book to be kept for that purpose.

20.15 A resolution in writing, signed by all the directors for the time being entitled to receive notice of a meeting of directors, shall be as valid and effective as if it had been passed at a meeting of directors duly convened and held, and may consist of several documents in like form signed by any one or more of the directors.

21. Officers of the company

21.1 The Secretary of the Company shall be appointed by the directors for such term at such remuneration and upon such conditions as they think fit; and any secretary so appointed may be removed by them.

21.2 No person shall be appointed as secretary who is:

- (a) the sole director of the Company;
- (b) a corporation, the sole director of which is the sole Director of the Company;
- (c) the sole director of a corporation which is the sole Director of the Company.

21.3 A provision in these articles requiring a thing to be done by a director and the secretary shall not be satisfied by it being done by the same person acting as both Director and Secretary.

22. The Seal

The seal of the Company shall not be affixed to any instrument except by the authority of a resolution of a board of directors, and in the presence of a director and of the secretary or such other person as the directors may appoint for the purpose; and that director and the secretary or other person as aforesaid shall sign every instrument to which any seal of the company is so affixed in their presence.

23. Dividends and Reserve

23.1 The Company, by ordinary resolution in general meeting, may declare dividends to be paid to shareholders, but no dividend shall exceed the amount recommended by directors.

23.2 The directors may, from time to time, pay to the shareholders such interim dividends as appear to the directors to be justified by the profits of the company.

23.3 No dividends shall be paid otherwise than out of profits.

24. Capitalisation of profits

The directors may, with the authority of an ordinary resolution of the Company resolve to capitalise any undistributed profits, namely any part of the Company's reserve accounts, or monies standing to the credit of the Company's profit and loss account or otherwise available for distribution;

25. Accounts

- 25.1 The directors shall cause proper books of account to be kept with respect to:
- (a) all sums of money received and expended by the company, and the matters in respect of which the receipt and expenditure takes place; and
 - (b) all sales and purchases of goods and services by the company and the assets and liabilities of the company.
- 25.2 The books of account shall be kept at the registered office of the Company, or at such other place or places as the directors think fit, and shall always be open to the inspection of the directors.
- 25.3 The directors shall, from time to time, determine whether and to what extent, at what times and places and under what conditions or regulations the accounts and books of the company or any of them shall be open to the inspection of members not being directors, and no member (not being a director) shall have any right of inspecting any account, book or document of the company except as conferred by law or authorised by the directors or by the company in general meeting.

26. Audit

The accounts relating to the company's affairs may be audited in such manner as the Company by ordinary resolution determines from time to time in general meeting or, failing any such determination, by the directors.

27. Service

- 27.1 A notice may be given by the company to any member either personally or by sending it by post to him to his registered address, or by email to the email address (the 'registered email address') supplied by him to the Company for the giving of notices to him.
- 27.2 Where a notice is sent by post, service of the notice shall be deemed to be effected by properly addressing, prepaying, and posting a letter containing the notice, and to have been effected in the case of a notice of a meeting on the fourth day after the letter containing the same is posted, and in the case of a notice sent by email to the registered email address, upon sending.
- 27.3 A notice may be given by the company to the joint holders of a share by giving the notice to the joint holder named first in the register of members in respect of the share.
- 27.4 A notice may be given by the company to the persons entitled to a share in consequence of the death or bankruptcy of a member by sending it through the post in a prepaid envelope addressed to them by name, or by the title of representatives of the deceased or trustee of the bankrupt or by any like description, at the address, if any, supplied for the purpose by the persons claiming to be so entitled, or (until such an address has been so supplied), by giving the notice in any manner in which the same might have been given if the death or bankruptcy had not occurred.

27.5 Notice of every general meeting shall be given in some manner herein before authorised to:

- (a) every member who has supplied to the Company an address or registered facsimile number for the giving of notices to him; and
- (b) every person entitled to a share in consequence of the death or bankruptcy of a member, who, but for his death or bankruptcy, would be entitled to receive notice of the meeting
- (c) every director who is not also a shareholder.

No other person shall be entitled to receive notices of general meetings.

28. Winding up

If the Company is wound up, the liquidator may, with the sanction of a special resolution, divide amongst the shareholders in specie the whole or any part of the assets of the Company, and may for such purpose, set such value as he deems fair

and may determine how such division shall be carried out between shareholders. The liquidator may, with like sanction, vest the whole or part of such assets in trustees upon such trusts as the liquidator thinks fit.

29. Exclusion of liability and indemnity

- 29.1 The directors, secretary, [resident representative] or other officers for the time being of the Company shall not, in the absence of bad faith, fraud or dishonesty, be liable for loss suffered by the Company arising from any error, oversight or mistake in their performance or purported performance of their duties, to the fullest extent permitted by the laws of [jurisdiction].
- 29.2 The directors, secretary and other officers and servants or agents for the time being of the Company shall be indemnified out of the assets of the company from and against all actions, liabilities, damages and all reasonable costs and expenses (in respect of which they may lawfully be indemnified under the laws of [jurisdiction]) which they may incur by reason of an act, omission, contract entered into in or about the execution of their duties, except such liability they may incur through their own wilful default, bad faith or fraud and provided that such indemnity shall not extend to matters which would render it void under the Companies Legislation.
- 29.3 No director, secretary, officer, servant or agent of the Company shall be liable for the acts, neglect, receipt or default of the others or of any bankers, brokers or other persons with whom money or property belonging to the Company shall be lodged or deposited for safe custody or into whose hands money or assets of the Company may come, or for any loss or damage caused by an error of judgement or oversight except in so far as the same shall be caused by their own wilful default.

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